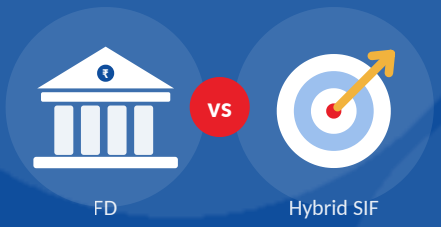
ASSETPLUS

COMPARE BEFORE YOU INVEST

SIF vs Bank FD

Rekha's question, answered in plain words



In short: ₹10 lakh in an FD became ₹10,61,000 in 12 months. In the middle hybrid SIF it became ₹10,75,100. The FD never dipped; the SIF dipped in 4 months and recovered.



Rekha, 61

Retired teacher · ₹80 lakh in FDs

Rekha's FDs pay her about 6.5%. After 30% tax she keeps nearly 4.5%, a little less than prices rise each year. Her pension covers her needs, so ₹10 lakh of the FD money will not be touched for years. Her daughter asked: is there something between an FD and the share market for that ₹10 lakh?

"I don't want to gamble. I just want my money to do a little better."



IN PLAIN WORDS

An FD is a train on a fixed timetable

You know the fare and the arrival time before you board. It never goes faster, never slower. The interest is taxed every year, whether you take it or not.

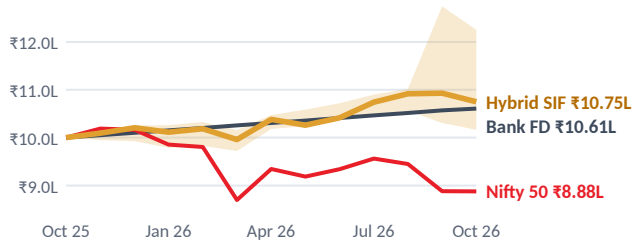


IN PLAIN WORDS

A hybrid SIF carries an umbrella

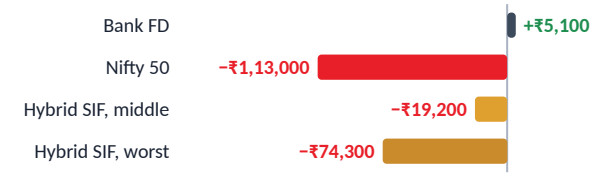
Most of the money earns steadily in arbitrage and bonds, some sits in shares, and a small 'short' part gains when markets fall. On a rainy day you still get a little wet, just less.

₹10 lakh, 12 months ago — month-end value



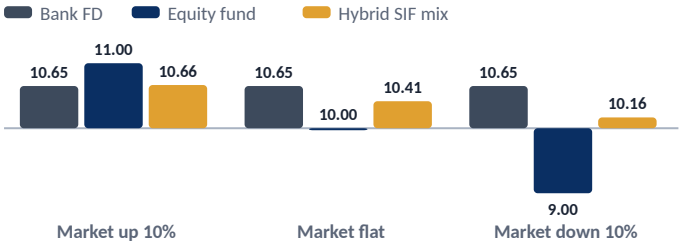
Gold band: the 3 hybrid SIFs with a full year; line: the middle one.

The worst month: March 2026 — gain or loss on ₹10 lakh



The Nifty fell 11.3% that month. Before tax.

What if, next year? — ₹ lakh after 1 year; illustration, not a forecast



Mix: ₹35 shares, ₹10 short, ₹40 arbitrage, ₹25 bonds. Real funds also depend on the manager.

At a glance

	Bank FD	Hybrid SIF
₹10 lakh became	₹10,61,000	₹10,75,100
Losing months (of 12)	None	4
Tax (30% slab)	Slab rate, every year	Per its documents
Money out	Any time (penalty)	Set days only
Minimum	Any amount	₹10 lakh

Hybrid SIF = middle of 3 funds with a full year; they ended between ₹10,16,400 and ₹12,25,600.

Stay in the FD if

- You may need the money within 2 years
- You cannot watch your money dip, even for a month
- You need a fixed income on a fixed date

Consider a hybrid SIF if

- ₹10 lakh can stay untouched for 2+ years
- A month of −2% will not worry you
- You want tax paid only when you sell

Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Illustrative, for investor education by AssetPlus; not a recommendation of any scheme or strategy. Tax for a 30% slab investor before cess and surcharge, under today's rules; it depends on each investor's situation. Sources: AMFI SIF and mutual fund NAVs (our calculations, Regular plans, growth), AMFI SIF assets, NSE Indices, RBI, SEBI SIF framework. Data to 23 Oct 2026.